STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	**Case 23-G-0225**

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service	**Case 23-G-0226**

REPLY STATEMENT OF THE CITY OF NEW YORK IN SUPPORT OF THE JOINT PROPOSAL

May 10, 2024

Couch White, LLP
540 Broadway
Albany, New York 12201-2222
(518) 426-4600

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PRELIMINARY STATEMENT

In accordance with the April 11, 2024 *Ruling Establishing Procedural Schedule*, the City of New York ("City") submits this Reply Statement in Support of the Joint Proposal filed with the New York State Public Service Commission ("Commission") on April 9, 2024 in the above-captioned gas rate cases for The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (together, "National Grid" or the "Companies").

Initially, the City appreciates the concerns raised by parties on continued capital investments in the gas system and the need to shrink and decarbonize this system. Those concerns, however, should not be viewed solely in the vacuum of these rate cases and instead should be considered within the broader context of Commission proceedings designed to further the City's and State's decarbonization goals. In particular, as noted in its Statement in Support, the City views this Joint Proposal as but one step in "an assertive and actionable plan to transition National Grid customers off of gas and onto non-pipes alternatives while also building reliable infrastructure

to provide zero emissions fuels generated from local sources to hard-to-decarbonize uses."[1] The City looks forward, in particular, to National Grid's forthcoming Long Term Gas Plan, and expects that this Plan will provide much-needed detail on the actions that need to be taken in the near-, mid-, and long-term to implement many of the commitments embedded in the Joint Proposal.

Specific to this Joint Proposal, several parties filed Statements in Opposition stating concerns with KEDNY's Newtown Creek purification system and opposing the limited cost recovery for interconnection facilities for new biomethane projects.[2] The City hereby offers this Reply to specifically address those concerns and reiterate that, based on the record developed in these proceedings and the likely outcome had the cases been fully litigated, the Joint Proposal represents a better outcome for customers.[3]

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1 Cases 23-G-0225, *et al*., KeySpan Gas East Corporation d/b/a National Grid and The Brooklyn Union Gas Company d/b/a National Grid – Gas Rates, Statement of the City of New York in Support of the Joint Proposal (filed May 1, 2024) at 2.

2 The City also acknowledges the allegations raised by WE ACT for Environmental Justice ("WE ACT") about the Joint Proposal including impermissible political expenditures. To the extent the Commission determines that the Companies have been impermissibly using ratepayer funds for political expenditures, the City supports WE ACT's call to audit those expenditures and impose appropriate guardrails to prevent future improper spending. *See* Cases 23-G-0225, *et al*., supra, Statement of WE ACT for Environmental Justice in Opposition to the Joint Proposal (filed May 1, 2024) at 39-51 ("WE ACT Statement in Opposition").

3 The City's Reply Statement focuses on a limited set of issues. Any omission herein of any other issue raised by other parties should not be construed as support for those arguments.

REPLY STATEMENT

POINT I

THE JOINT PROPOSAL PROPERLY ADDRESSES CONCERNS ON THE NEWTOWN CREEK PROJECT

Several parties raised concerns over the ongoing operational problems at KEDNY's Newtown Creek purification system ("KEDNY System"), which operates in conjunction with the City's Department of Environmental Protection's ("NYC DEP") digesters at the Newtown Creek Wastewater Resource Facility ("Newtown Creek WRRF"). The City acknowledged these problems in its Initial Statement and recognizes that several parties are concerned that the problems will continue. The Joint Proposal, however, properly addresses many of these concerns and the recommended solutions therein would not have been achieved had these cases been litigated.

Most important, the Joint Proposal requires KEDNY and NYC DEP to negotiate a service level agreement to address specific issues raised by both the City and other intervening parties, including, but not limited to, notifications and prompt responses to outages at the KEDNY System. When operating properly, the KEDNY System allows for the capture and beneficial re-use of the on-site biomethane production that results from the operation of the Newtown Creek WRRF, thereby significantly reducing the flaring that would otherwise necessarily occur. Prompt response by National Grid to outages at the KEDNY System is critical to addressing biomethane flaring at Newtown Creek, which NYC DEP must do when it cannot capture and re-use the biomethane produced by the on-site digesters. The Joint Proposal provides the opportunity to address and rectify operational issues with the KEDNY System, and addressing the flaring concerns raised by parties to these proceedings would not be possible by litigating the case.

The Joint Proposal contains additional measures designed to improve performance and operational transparency. It requires KEDNY to file an annual public report regarding the operation of the KEDNY system, as well as requiring additional efforts to ensure that any future environmental benefits associated with the production of renewable natural gas from the KEDNY System remain local.[4] And, in response to concerns that the rate plan does not incentivize improved performance, the Joint Proposal contains a revenue reconciliation mechanism specific to the KEDNY System that places shareholder funds at risk if defined revenue targets are not met,[5] thereby creating a concrete financial incentive within the Joint Proposal for improved performance.

Many of these proposed improvements were not raised in testimony. Indeed, most references to the Newtown Creek WRRF in testimony were general statements of concern related to the use of biomethane as an alternative fuel source. As such, the Newtown Creek provisions in the Joint Proposal create a better, more transparent result than what could have been achieved in a litigated case. Together, the Newtown Creek provisions are intended to ensure better operation of the KEDNY System, so that the surrounding community will reap the full environmental benefits associated with those improved operations.

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4 Joint Proposal at 56-57.

5 Id. at 20.

POINT II

THE BIOMETHANE INTERCONNECTION PROVISIONS ARE CONSISTENT WITH COMMISSION PRECEDENT AND STATE AND CITY POLICIES

Some parties opposed the Joint Proposal provisions that authorize recovery of limited interconnection costs for new biomethane production facilities. These parties raised particular concerns with the use of biomethane as an alternative fuel source.[6]

Biomethane has been recognized by the State as a viable option for transitioning off of the gas system. The Climate Action Council, for example, noted in its Final Scoping Plan that renewable natural gas may be considered "to decarbonize the gas system as it transitions."[7] The Commission also previously acknowledged the role that renewable natural gas will have in decarbonizing the system.[8] Recently, the Commission approved cost recovery for interconnection facilities for a new biomethane project in Consolidated Edison Company of New York, Inc.'s ("Con Edison") gas rate case.[9]

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6 *See, e.g.,* WE ACT Statement in Opposition at 21; Cases 23-G-0225, *et al*., supra, Natural Resources Defense Council Statement in Opposition to the Joint Proposal (filed May 1, 2024) at 17 ("NRDC Statement in Opposition").

7 Climate Action Council, "Final Scoping Plan" (December 2022) at 351 ("Scoping Plan").

8 *See* Case 22-M-0149, In the Matter of Assessing Implementation of and Compliance with the Requirements and Targets of the Climate Leadership and Protection Act, Order on Implementation of the Climate Leadership and Protection Act (Issued May 12, 2022) at 28; Case 20-G-0131, Proceeding on Motion of the Commission in Regard to Gas Planning Procedures, Order Adopting Gas System Planning Process (issued May 12, 2022) at 56-57.

9 Cases 22-G-0065, *et al*., Consolidated Edison Company of New York, Inc. – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements (issued July 20, 2023) at 128-129 ("Con Edison Rate Order").

The biomethane interconnections provisions in the Joint Proposal are directly in line with the requirements in the Con Edison Rate Order. There, the Commission required that Con Edison:

> [A]t least 90 days prior to the construction of any interconnection project to receive renewable natural gas, file a report containing the following information: cost estimate of the interconnection project; summary of benefits to the reliability of the natural gas system in the vicinity of the interconnection project and in the service territory in general; a detailed description of the source materials being used at the interconnected facility to produce renewable natural gas; and a detailed accounting of the environmental impacts of any renewable natural gas that will be procured by Con Edison as a result of the interconnection.[10]

The Joint Proposal contains near-identical requirements before National Grid can recover interconnection costs for new biomethane facilities.

The only material difference between the Con Edison requirements and those in the Joint Proposal is that here, the Companies would include in the report "a detailed accounting of the *upstream [greenhouse gas] emissions avoided* by the biomethane that the Companies will procure as a result of the interconnection,"[11] as opposed to the "environmental impacts" referenced in the Con Edison Rate Order. This difference is not related to the interconnection itself, but in any event it is helpful to explicitly calculate the avoided greenhouse gas emissions from these proposed projects. Limited cost recovery of interconnection facilities is also aligned with the Commission's finding in the Con Edison rate case that the interconnection project can help determine whether using renewable natural gas can reduce emissions,[12] as well as the Climate Action Council's note

[10] Con Edison Rate Order at 128-129.

[11] Joint Proposal at 56.

[12] Con Edison Rate Order at 129.

that additional analysis should be taken to examine the emissions impacts of renewable natural gas.[13]

Mitigating existing emissions is largely why the City is pursuing two of the biomethane projects covered by the Joint Proposal. These projects are targeted to existing City wastewater resource recovery facilities that currently flare the excess biomethane produced at the facilities. To the extent that they are sited during the Rate Plan, the new biomethane projects will allow the City to capture and beneficially re-use this biomethane, in turn reducing the localized air impacts associated with flaring.

Finally, the City specifically disagrees with NRDC's contention that new biomethane projects should be treated analogous to electric distributed generation ("DG") projects, with project developers responsible for interconnection upgrade costs.[14] There are several critical differences between electric DG projects and biomethane projects that preclude an apples-to-apples comparison. For example, unlike biomethane projects, electric DG projects have an established and predictable valuation structure for project output—the Value Stack—that compensates projects for electricity, capacity, environmental attributes, and avoided distribution value.[15] Electric DG projects also have access to a host of NYSERDA incentives, including base incentives and a variety of adders depending on project configuration, which biomethane projects cannot access.[16]

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13 Scoping Plan at 351.

14 NRDC Statement in Opposition at 17.

15 *See, e.g.*, Con Edison, PSC No. 10 – Electricity, Schedule for Electricity Service, Rider R.

16 NYSERDA, "Dashboards and Incentives" *available at* https://www.nyserda.ny.gov/All-Programs/NY-Sun/Contractors/Dashboards-and-incentives.

The limited cost recovery for biomethane interconnection facilities in the Joint Proposal strikes the appropriate balance for this asset class at this time[17] and places reasonable guardrails on cost recovery while supporting projects that align with State and City climate policies.

CONCLUSION

For all the reasons set forth herein and in the City's Initial Statement in Support, the terms and conditions of the Joint Proposal are reasonable and the Joint Proposal was developed consistent with the Commission's Settlement Guidelines. The issues of concern raised by the opposing parties regarding Newtown Creek and new biomethane projects have been sufficiently addressed by provisions within the Joint Proposal that are in the public interest and provide for safe and adequate service. Therefore, subject to the City's limited concerns in its Initial Statement in Support, the City respectfully recommends that the Commission adopt the Joint Proposal.

Respectfully submitted,

Adam T. Conway

Adam T. Conway, Esq.
Robert M. Loughney, Esq.
Melanie M. Franco, Esq.
COUCH WHITE, LLP
Counsel for the City of New York
540 Broadway
Albany, New York 12201-2222
aconway@couchwhite.com
rloughney@couchwhite.com
mfranco@couchwhite.com

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Albany, New York

[17] To the extent these new facilities satisfy all conditions to cost recovery, the exposure for ratepayers associated with new biomethane interconnections during the term of the rate plan is limited to $13.195 million and $9.868 million for KEDNY and KEDLI, respectively, and such investments would be recovered from customers over the projected life of the asset.